

But the issues would "get hot," as speculators are wont to say, and multiply several times over their issue price within a matter of weeks or even days. Then, someone would realize that the heat was being generated solely by irrational buying—and the prices would plummet.

I repeat that I personally believe that selected—and I want again to emphasize the word *selected*—common

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stocks are excellent investments. There are innumerable fine buys on the market today. Among them are many stocks issued by companies with net realizable assets two, three, four and even more times greater than the stock exchange value of their issued shares.

What does this mean to the investor? Well, for example, let's suppose that the mythical XYZ Corporation has realizable assets with a net value of \$20,000,000. At the same time, it has 1,000,000 shares of common stock outstanding and the stock is selling at \$10 per share. The arithmetic is simple. The \$20,000,000 net value of the company's realizable assets is double the total \$10,000,000

value of its outstanding common shares. Thus, anyone buying a share of the XYZ Corporation's common stock at \$10 is buying \$20 worth of actual, hard assets.

Such situations are not nearly so unusual as one might imagine—and the shrewd, seasoned investor takes the time and trouble to seek them out. Occasionally—though admittedly such instances are rare—especially astute investors discover companies that have undistributed surpluses equal to a sizable percentage of the market value of the outstanding common stock. Anyone buying stock in such a company is actually buying an amount of money equal to a goodly portion of his investment, as well as a share in the corporation's other assets.

I might point out, however, that the exact opposite may be true, and that the investor will still be safe. An individual does not necessarily have to buy stocks in a company whose vaults are bulging with cash in order to make a